CHAPTER 1

What Is Behavioral Finance?

People in standard finance are rational. People in behavioral finance are normal.

—Meir Statman, PhD, Santa Clara University

At its core, behavioral finance attempts to understand and explain actual investor and market behaviors versus theories of investor behavior. This idea differs from traditional (or standard) finance, which is based on assumptions of how investors and markets should behave. Wealth managers from around the world who want to better serve their clients have begun to realize that they cannot rely solely on theories or mathematical models to explain individual investor and market behavior. As Meir Statman's quote puts it, standard finance people are modeled as "rational," whereas behavioral finance people are modeled as "normal." This can be interpreted to mean that "normal" people may behave irrationally—but the reality is that almost no one (actually, I will go so far as to say absolutely no one) behaves perfectly rationally, and dealing with normal people is what this book is all about. We will delve into the topic of the irrational behaviors of markets at times; however, the focus of the book is on individual investor behavior.

Fundamentally, behavioral finance is about understanding how people make financial decisions, both individually and collectively. By understanding how investors and markets behave, it may be possible to modify or adapt to these behaviors in order to improve financial outcomes. In many instances, knowledge of and integration of behavioral finance may lead to better than expected results for both advisors and their clients. But advisors cannot view behavioral finance as a panacea or "the answer" to problems with clients. Working with clients is as much an art as it is a science. Behavioral finance can add many arrows to the art quiver.